Starting a health-tech business in Victoria — setup, protection & funding

Prepared July 2026 · two co-founders, both currently employed in the field of the venture, by the same organisation

General information only — not legal, tax or financial advice. The employment/IP section in particular turns on the exact wording of your contracts and policies: engage an employment/IP lawyer and an accountant before acting. Sources listed at foot; figures current at July 2026.

1 · SET UP THE BUSINESS PROPERLY

Structure — company, not partnership

For two founders in health: a **Pty Ltd company** is the default — limited liability, a clean vehicle to own the IP, investable and grant-eligible. A plain partnership makes each of you personally liable for the other's debts. A discretionary trust can add tax flexibility later — accountant's call.

Registrations, in order

1. **Clear the name three ways:** ASIC name availability, IP Australia trade-mark search, and domain availability. A registered business name is *not* a trade mark — only a trade mark stops others using it.
2. **Register the company** with ASIC (≈$611, issues your ACN) via register.business.gov.au — one front door for most of this list.
3. **ABN** (free, Australian Business Register), then **TFN**; register a **business name** only if trading under something other than the company name.
4. **GST** at $75k turnover; **.com.au domain** (needs the ABN); business bank account before the first dollar moves.

Protecting yourselves as co-founders

- **Shareholders' agreement before the company is worth anything:** equity split, founder vesting, decision rights, deadlock resolution, exit/drag/tag, and what happens if one of you stops working on it.
- **IP deeds of assignment** — everything either founder creates for the venture is assigned in writing to the company.
- **Insurance for health:** professional indemnity is non-negotiable for advice/analytics products; add cyber, public liability, D&O as you grow. Privacy Act/APP duties apply to health information at any business size.

Business loans — the honest picture

Banks lend against **security and trading history** — pre-revenue startups have neither, so early "loans" are really personal guarantees or mortgage draws (be cautious). No general government startup-loan scheme exists. Realistic early capital: founder funds → non-dilutive grants (col. 3) → RDTI-refund advance financing → angels. Debt makes sense once revenue exists.

2 · THE IP LINE WHILE YOU'RE BOTH STILL EMPLOYED

Your biggest legal risk — the venture sits in the same field as your day jobs, and you share an employer.

Where the line sits

- Your employer owns IP created **"in the course of employment"** — strongest where creating that kind of thing is part of your duties. Contracts often widen this: read the **IP, moonlighting, conflict-of-interest and restraint clauses** in both contracts and incorporated policies.
- **Skills, experience and know-how in your head are generally yours.** Documents, data, templates, pricing, contract terms and customer relationships are generally **theirs** — and confidentiality obligations survive resignation indefinitely.
- Employees and officers also owe statutory duties (Corporations Act ss 182–183): no improper use of your **position or information** to gain an advantage — this covers diverting a business opportunity your employer could have pursued.

> **Danger zones — any one can sink the venture:**
> - Building on employer time, devices, systems or accounts.
> - Using anything confidential from work — fund rates, contract terms, internal processes, audit data — in the product or the pitch.
> - Soliciting your employer's clients or staff while employed.
> - A restraint clause you assumed was unenforceable — courts do enforce reasonable ones, and an injunction can stop a launch cold.

Pathways (choose deliberately)

- **A** — **Quiet independent build:** own time, own devices, public sources only; keep a provable creation trail (repo history, dated notes). Lowest friction — but conflict clauses may still require disclosure.
- **B** — **Disclose and get a written carve-out:** some employers consent, define the boundary, even become a first customer. Safest legally; tips your hand.
- **C** — **Resign before serious commercial activity** (pilots, sales, funding): cleanest position; take nothing but expertise. Restraints still apply — get advice on scope.

Recommended: A now → legal review of both contracts → B or C before any pilot or revenue conversation. Both founders sharing one employer doubles the exposure — one adviser should review both contracts together.

3 · GRANTS & GOVERNMENT FUNDING — HEALTH

Most require a company + ABN first — another reason to incorporate early. Monitor **GrantConnect** and the business.gov.au grant finder monthly.

R&D Tax Incentive (federal) — **43.5%**
Refundable offset on eligible R&D, turnover <$20m — cash back on dev spend. From 1 Jul 2028: threshold $50m, rate ≈48%, refunds limited to companies <10 yrs, min spend $50k. Register with AusIndustry annually.

ANDHealth+ (digital health) — **to $5m**
Australia's dedicated digital-health commercialisation program — non-dilutive funding + structured support; expanded with $33m under the MRFF Incubator. On-target for health software.

MRFF BioMedTech Incubator (federal) — **$132m pool**
Funds incubators that back SMEs developing diagnostics, devices and *digital technologies* — apply via the incubators (e.g. ANDHealth), not the MRFF directly.

CSIRO Kick-Start — **$10–50k**
Matched funding for research with CSIRO — turnover <$10m or trading <3 yrs. Good for independently validating analytics/AI methods.

Innovation Victoria (new) — **VIC**
LaunchVic + Breakthrough Victoria merge into one "front door" from H2 2026 — grants, accelerators, patient co-investment. LaunchVic-era programs continue through transition; healthtech is a priority sector.

Industry Growth Program (federal) — **⚠ paused**
Commercialisation grants ($50k–$5m) reported paused mid-2026 — verify on business.gov.au before planning around it.

Sequencing: incorporate → RDTI from the first dev dollar → ANDHealth/Kick-Start with pilot evidence → Innovation Victoria for scale. Grants favour ventures with a pilot site and LOIs.

RECOMMENDATIONS & HEADLINE RISKS

1. **Incorporate early** (Pty Ltd) and assign all venture IP into the company from day one.
2. **Shareholders' agreement + founder vesting** signed before the company has value.
3. **Employment/IP legal review of both contracts before any pilot or revenue** — the same-employer, same-field overlap is the venture's #1 risk.
4. **Bright lines always:** no employer time, devices, documents or data — and a dated trail proving independent creation.
5. **Fund with non-dilutive money first** (RDTI → ANDHealth/Kick-Start → Innovation Victoria); treat bank debt as a post-revenue tool.
6. **Risks to price in:** employer IP/confidence claim or injunction; restraint enforcement; grant timelines (6–12 months); PI insurance cost in health.

Sources: business.gov.au Business Registration Service & guides · asic.gov.au (company & business-name registration) · abr.gov.au (ABN) · DW Fox Tucker / LegalVision / Attwood Marshall on employee IP, restraint of trade & fiduciary duties · Corporations Act 2001 ss 182–183 · business.gov.au R&D Tax Incentive + 2026–27 Budget RDTI changes (Baker McKenzie, SmartCompany) · health.gov.au MRFF 2026 BioMedTech Incubator · andhealth.com.au (ANDHealth+) · csiro.au Kick-Start · launchvic.org & invest.vic.gov.au (Innovation Victoria, July 2026) · Startup Daily / SmartCompany (Industry Growth Program pause). Verify all figures before relying on them.